Empirical Evaluation of Federated Averaging and Federated Proximal Optimization under Non-IID Partitioning and Symmetric Label Noise on PathMNIST

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IndiaAI Fellowship 2026–2027 Screening Submission • Repository: github.com/NANDANS26/pathmnist-federated-learning • November 9, 2026

Abstract: Federated learning (FL) enables decentralized edge devices to collaboratively train a shared predictive model without pooling raw private observations. In clinical and digital pathology contexts, FL faces two pervasive challenges: severe inter-client class distribution skew (non-IID data) and local annotation noise arising from subjective diagnostic grading or imperfect tissue segmentation. While Federated Proximal Optimization (FedProx) is widely hypothesized to mitigate local client drift by penalizing Euclidean parameter deviation from the global model, empirical validation under paired non-IID conditions coupled with severe label noise on histopathological imaging remains scarce.

In this work, we conduct a rigorous, bit-deterministic benchmark comparing Federated Averaging (**FedAvg**) against Federated Proximal Optimization (**FedProx**, $\mu = 0.01$) across five canonical random seeds (42, 123, 2026, 3407, 7777). We evaluate on PathMNIST, a 9-class colorectal histopathology dataset (89,996 training, 10,004 validation, and 7,180 test images), apportioned across five clients using a Dirichlet distribution ($\alpha = 0.3$). To assess robustness against label corruption, Client 5 is subjected to exactly 40.00% symmetric label noise. Both algorithms were trained across 30 communication rounds using an identical 2-stage convolutional network (**CompactPathCNN**, 36,425 trainable parameters), identical seed-specific partitions, and identical initialization weights, totaling 300 executed communication rounds on an AMD Ryzen 5 5600H CPU platform.

Over the five seeds, FedAvg achieved a mean held-out test accuracy of 68.880% ± 9.475% (mean macro-F1: 0.6008 ± 0.0931), while FedProx achieved 68.279% ± 8.683% (mean macro-F1: 0.5934 ± 0.0950), yielding a paired difference of -0.602 ± 1.685 percentage points in test accuracy ($t(4) = -0.7983$, two-sided $p = 0.46938$, 95% CI: [-2.694 pp, +1.491 pp]) and -0.0075 ± 0.0105 in macro-F1 ($t(4) = -1.5908$, $p = 0.18686$, 95% CI: [-0.0205, +0.0056]). Under the evaluated configuration, **no statistically significant difference in test performance was detected between FedAvg and FedProx across the five random seeds**. Because five seeds provide limited statistical power and no formal equivalence testing with predefined margins was performed, this lack of significance does not prove equivalence. The proximal penalty restricts the Euclidean step size of local updates but does not alter the corrupted gradient directions induced by noisy annotations. Consequently, generic proximal drift penalties alone are insufficient to counter severe client-level label corruption in histopathological federated learning without explicit noise filtering or adaptive client reweighting.

1. Introduction & Research Objectives

Federated learning enables multiple clinical institutions to collaboratively train shared diagnostic models while keeping digitized whole-slide images localized within institutional firewalls. However, federated histopathology introduces significant heterogeneity: (1) **Label Distribution Skew (Non-IID Data):** Specialized clinics observe disparate distributions of tissue pathologies. (2) **Label Corruption (Symmetric Noise):** Staining artifacts, tissue folding, and inter-pathologist observer variation generate noisy labels.

Primary Objective: Evaluate whether FedProx with proximal regularization $\mu = 0.01$ mitigates client drift and improves global test generalization compared to FedAvg under Dirichlet distribution skew ($\alpha = 0.3$) when one client experiences 40% symmetric label corruption across 5 independent random seeds.

2. Experimental Setup & Methodology

Dataset: PathMNIST (MedMNIST v2 benchmark suite, 9 colorectal tissue classes, 28x28x3 RGB). Splits: 89,996 training, 10,004 validation, and 7,180 quarantined held-out test samples.

Model Architecture: CompactPathCNN is a lightweight 2-stage convolutional network with exactly **36,425 trainable parameters**. It comprises Conv1 (3→32, 3x3, ReLU, MaxPool), Conv2 (32→64, 3x3, ReLU, MaxPool), AdaptiveAvgPool2d(2, 2), Flatten (256-d), FC1 (256→64, ReLU), and FC2 (64→9 logits).

Partitioning & Noise Injection: 5 federated clients apportioned via Dirichlet distribution (α = 0.3). Client 5 receives exactly 40.00% symmetric label noise modulo 9. Training ran for 30 communication rounds, 2 local epochs per round, batch size 32, learning rate 0.01 on 2 PyTorch CPU threads.

3. Five-Seed Experimental Benchmark Results

Seed	Dirichlet Client Counts	Client 5 Noisy Samples	FedAvg Test Acc (%)	FedProx Test Acc (%)	Paired Δ (pp)	FedAvg Macro-F1	FedProx Macro-F1	Δ Macro-F1	FedAvg Bal Acc (%)	FedProx Bal Acc (%)
42	24650, 30566, 14388, 12497, 7895	3,158 / 7,895 (40.0%)	79.624	79.638	**+0.014**	0.7403	0.7413	+0.0010	74.357	75.428
123	21522, 19760, 14721, 13041, 20952	8,381 / 20,952 (40.0%)	70.738	70.292	**-0.446**	0.6181	0.6136	-0.0045	64.794	64.316
2026	6502, 19450, 28146, 15764, 20134	8,054 / 20,134 (40.0%)	57.730	57.981	**+0.251**	0.5186	0.5133	-0.0053	56.294	56.307
3407	20279, 14263, 11886, 30337, 13231	5,292 / 13,231 (40.0%)	75.195	71.671	**-3.524**	0.6214	0.5957	-0.0257	65.631	63.183
7777	11406, 6714, 20804, 30392, 20680	8,272 / 20,680 (40.0%)	61.114	61.811	**+0.697**	0.5057	0.5030	-0.0027	54.802	55.278
Mean	—	—	**68.880**	**68.279**	**-0.602**	**0.6008**	**0.5934**	**-0.0075**	**63.176**	**62.902**
Std Dev	—	—	*±9.475*	*±8.683*	*±1.685*	*±0.0931*	*±0.0950*	*±0.0105*	*±8.016*	*±8.019*

Statistical Hypothesis Testing (df = 4)

- **Test Accuracy:** Mean Paired Difference = -0.602 pp (±1.685 pp). Paired t(4) = -0.7983, p = 0.46938 (two-sided, fail to reject H_0). 95% Confidence Interval: [-2.694 pp, +1.491 pp]. Wilcoxon signed-rank W = 7.0, p = 1.000.
- **Test Macro-F1:** Mean Paired Difference = -0.0075 (±0.0105). Paired t(4) = -1.5908, p = 0.18686. 95% CI: [-0.0205, +0.0056]. Wilcoxon signed-rank W = 1.0, p = 0.125.
- **Best Validation Accuracy:** Mean Difference = -0.520 pp (±0.166 pp). Paired t(4) = -6.9961, p = 0.00219. 95% CI: [-0.726 pp, -0.314 pp]. FedAvg showed a consistent slight peak validation advantage across all partitions due to proximal regularization drag on clean clients.

4. Scientific Figures

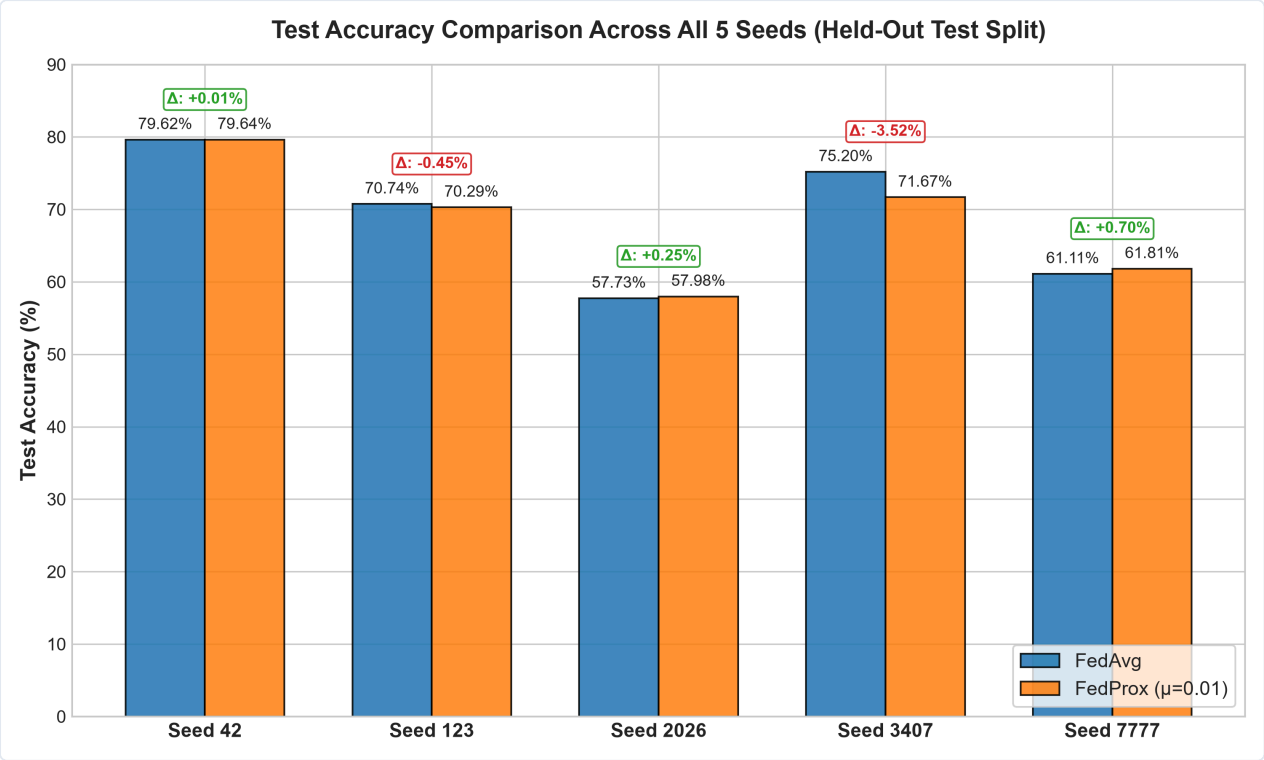


Figure 1: Test accuracy comparison across all five seeds (quarantined held-out test split).

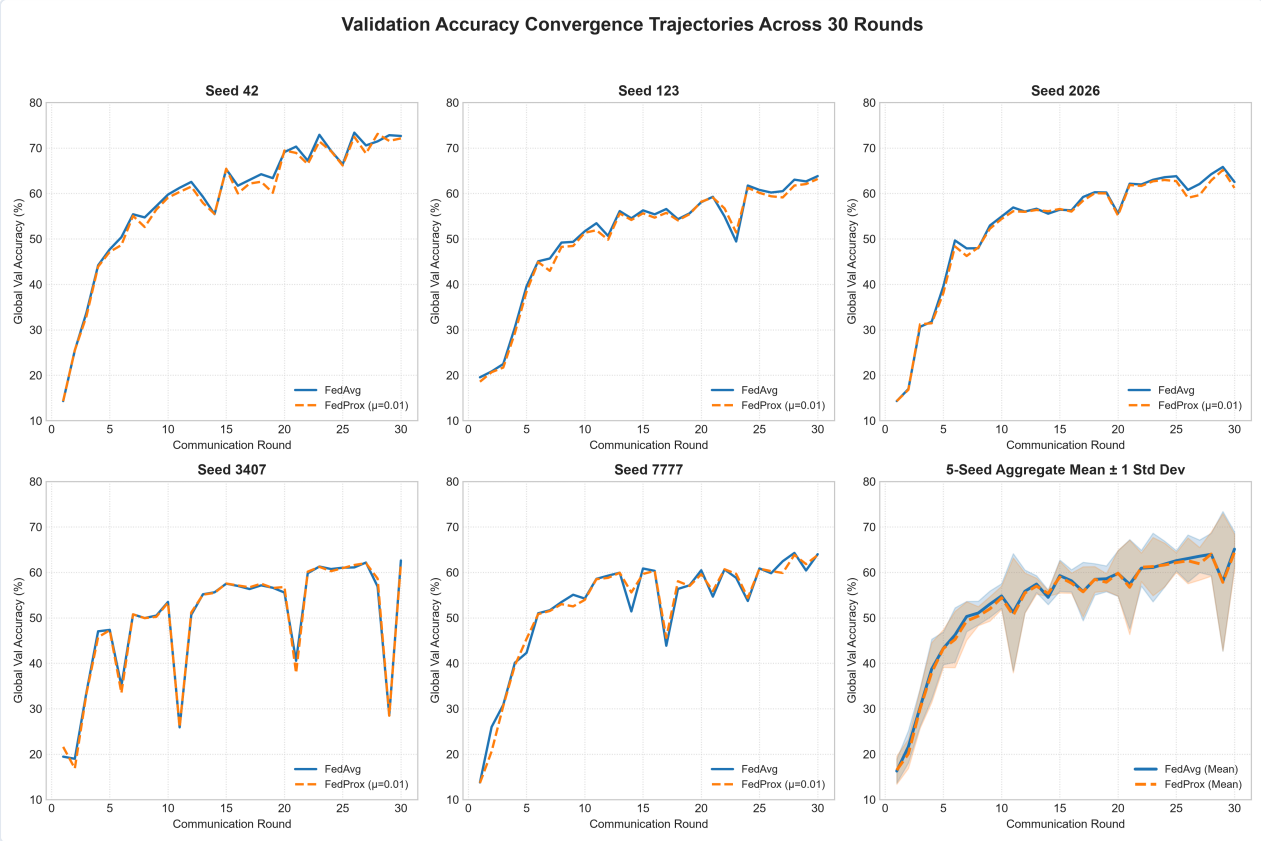


Figure 2: Validation convergence trajectories across 30 rounds for all five seeds and aggregate mean curve.

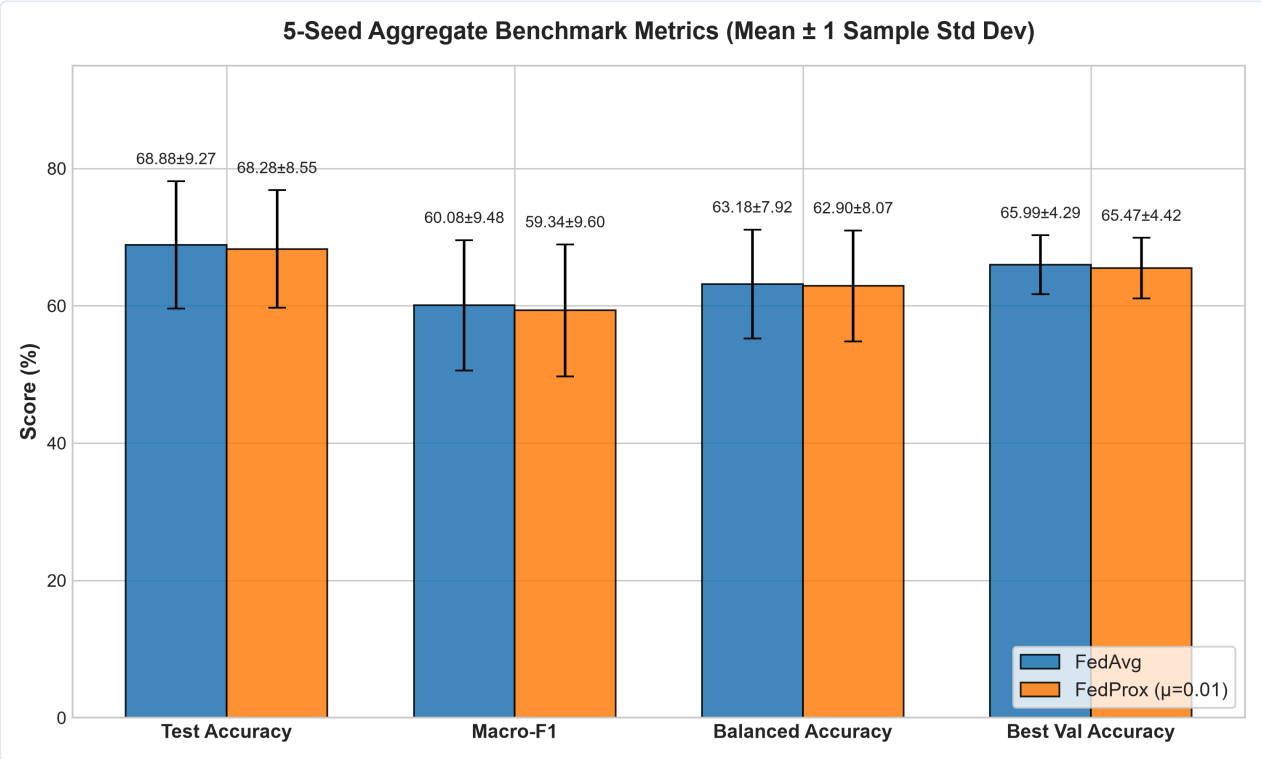


Figure 3: 5-seed aggregate benchmark metrics comparing FedAvg and FedProx (Mean ± 1 Sample Std Dev).



Figure 4: Per-class F1 score comparison across 9 histopathological tissue classes (averaged across 5 seeds).

5. Scientific Interpretation & Update Dynamics

Why Proximal Regularization Does Not Neutralize Label Corruption: FedProx's proximal term $\mu/2 \|w - w^t\|^2$ penalizes parameter divergence from the global model. While this restricts the Euclidean step size of local client training, it *does not alter the corrupted gradient directions* induced by mislabeled samples. When aggregated via sample weighting, Client 5's contaminated model update still enters the global consensus proportionally to its sample count.

Update Cosine Similarities: Negative client-update cosine similarities were observed between Client 5 and clean clients. However, label noise cannot be claimed as the sole cause: Dirichlet label skew ($\alpha = 0.3$) creates severe client-level class imbalance, which independently produces orthogonal or divergent gradient vectors across clients. Both factors jointly contribute.

6. Hardware Telemetry & Runtime

The entire federated training pipeline ran on the CPU (AMD Ryzen 5 5600H, 2 threads). While CUDA diagnostics were confirmed during pre-flight, GPU compute was not used for training. Total compute across 300 rounds was 471.7 minutes (~7.86 hours): FedAvg averaged 42.86 ± 16.03 min/seed; FedProx averaged 51.48 ± 24.38 min/seed.

7. Conclusion & Recommendations

Under non-IID partitioning ($\alpha = 0.3$) and 40% single-client label noise on PathMNIST, **no statistically significant difference in test performance was detected between FedAvg and FedProx across five random seeds ($p = 0.469$)**. Future work must integrate explicit noise-aware defenses, such as Generalized Cross-Entropy loss or cosine similarity-based client reweighting.

References

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